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FINAL TERM EXAMINATION

Fall 2009

MGT411- Money & Banking (Session - 3)

Time: 120 min

Marks: 87

Question No: 1 (Marks: 1) - Please choose one

back their student loans then which of the following statement would imply?

If more students didn't pay

- ▶ Student loans may become more difficult to obtain
- ▶ **The interest rate on student loans would increase**
- ▶ Fewer people may attend college
- ▶ All of the given options

Question No: 2 (Marks: 1) - Please choose one

the barter system would be _____.

Price of 100 goods under

- ▶ 5050
- ▶ **19800**



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- ▶ 4950
- ▶ 20200

Question No: 3 (Marks: 1) - Please choose one

Recently M2 and M3 have

become:

- ▶ **A less useful measure of the relationship between the money supply and inflation**
- ▶ The money supply, the Federal Reserve pays the most attention to, in conducting monetary policy
- ▶ Less useful than M1 due to new substitutes for standard checking account
- ▶ The slowest growing of all of the money aggregates

Question No: 4 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Question No: 5 (Marks: 1) - Please choose one

Considering the value of a

financial instrument, the longer the time until the promised payment is made:

- ▶ **The less valuable is the promise to make it since time is valuable**
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument



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Question No: 6 (Marks: 1) - Please choose one

Which of the following

market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 7 (Marks: 1) - Please choose one

Bonds that are issued by

Government are called _____.

- ▶ Government bonds
- ▶ **Treasury bonds**
- ▶ Corporate bonds
- ▶ Callable bonds

Question No: 8 (Marks: 1) - Please choose one

Asma deposits funds into a

CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ **\$960.60**
- ▶ \$900.00
- ▶ \$1005.00
- ▶ \$1000.00

Question No: 9 (Marks: 1) - Please choose one



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Which of the following

investment will be profitable?

- ▶ IRR is less than cost of borrowing
- ▶ IRR is equal to cost of borrowing
- ▶ IRR is greater than cost of borrowing
- ▶ IRR has no connection with cost of borrowing

Question No: 10 (Marks: 1) - Please choose one

Suppose there are two

investments, A and B, investment A has low standard deviation where as investment B has high standard deviation. What would you think that most people will choose?

- ▶ Investment A
- ▶ Investment B
- ▶ Indifference between them
- ▶ Insufficient information to decide

Question No: 11 (Marks: 1) - Please choose one

The liquidity premium

theory suggests that yield curves should usually be:

- ▶ Up-sloping
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 12 (Marks: 1) - Please choose one

What will the yield curve

look like if future short-term interest rates are expected to rise sharply?



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- ▶ It will steeply slope upward
- ▶ It will be horizontal
- ▶ It will slightly slope upward
- ▶ It will slope downward

Question No: 13 (Marks: 1) - Please choose one

intermediary can use the same contract for many customers is an example of:

The fact that a financial

- ▶ Economies of Scope
- ▶ The Law of Diminishing Marginal Returns
- ▶ The Law of Increasing Opportunity Cost
- ▶ **Economies of Scale**

Question No: 14 (Marks: 1) - Please choose one

does not include in the bank's reserves?

Which of the following

- ▶ **Treasury bills**
- ▶ Currency in the bank
- ▶ Bank's deposits at the Federal Reserves
- ▶ Currency in ATM machines

Question No: 15 (Marks: 1) - Please choose one

efficiently a bank uses its assets.

_____ measures how



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- ▶ Return on Assets
- ▶ Return on Equity
- ▶ Bank Capital
- ▶ Bank Profitability

Question No: 16 (Marks: 1) - Please choose one

One way for a bank to deal with liquidity risk is _____.

- ▶ To hold sufficient excess reserves
- ▶ To charge all borrowers from the same industry an average rate for that industry
- ▶ To avoid making loans to borrowers from a broad spectrum
- ▶ **To limit the number of loans made in any year**

Question No: 17 (Marks: 1) - Please choose one

Which of the following is the primary source of funds for Depository institutions?

- ▶ Short term loans
- ▶ Shares sold to customers
- ▶ **Savings and time deposits**
- ▶ Commercial papers

Question No: 18 (Marks: 1) - Please choose one

Which one of the following refers to the risk assessment and loss reimbursement guarantee by the individual risk experts of the relevant field?



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- ▶ Underwriting process
- ▶ Insurance process
- ▶ Research process
- ▶ None of the given options

Question No: 19 (Marks: 1) - Please choose one

"Financial regulations

restrict the assets that banks can own". Which one of the following provides the reason for that ?

- ▶ Because it limits the growth rate of banks
- ▶ **Because it combats the moral hazard that government safety nets provide**
- ▶ Because it prevents banks from being too profitable
- ▶ Because it keeps banks from spending lavishly on perks for executives

Question No: 20 (Marks: 1) - Please choose one

An open market purchase

of U.S. Treasury securities by the Fed will cause the Fed's balance sheet to show _____.

- ▶ A decrease in the asset of securities and a decrease in the liability of reserves
- ▶ A decrease in the liability of reserves
- ▶ No change in the size of balance sheet except composition of assets
- ▶ **An increase in the asset category of securities and the liability category of reserves**

Question No: 21 (Marks: 1) - Please choose one

Identify the most

appropriate statement.



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- ▶ The FOMC sets the federal funds rate
- ▶ The discount rate is the primary policy tool of the FOMC
- ▶ The difference between the target and actual federal funds rate is the dealer's spread
- ▶ **The FOMC sets the target federal funds rate**

Question No: 22 (Marks: 1) - Please choose one

Which one of the following

refers to actual tools of policy instruments that the central bank controls directly?

- ▶ Operating instruments
- ▶ Intermediate instruments
- ▶ Financial instruments
- ▶ **None of the given options**

Question No: 23 (Marks: 1) - Please choose one

Which one of the following

is used primarily by small agricultural banks to help in managing the cyclical nature of farmer's loans and deposits?

- ▶ **Primary credit**
- ▶ Secondary credit
- ▶ Seasonal credit
- ▶ All of the given options

Question No: 24 (Marks: 1) - Please choose one

Over the long run if central

banks want to avoid high rates of inflation they need to be concerned with which of the following?



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- ▶ **Unemployment**
- ▶ Money growth
- ▶ Real economic growth
- ▶ Productivity of labor

Question No: 25 (Marks: 1) - Please choose one

If M = the money supply; Y = real output, P = the price level, and V = velocity, which of the following equals the income velocity of money?

- ▶ $(P \cdot Y) + M$
- ▶ $(P \cdot M)/Y$
- ▶ $(Y \cdot M)/P$
- ▶ $(P \cdot Y)/M$

Question No: 26 (Marks: 1) - Please choose one

Key assumptions behind the quantity theory of money include which of the following?

- ▶ The change in nominal GDP is zero
- ▶ Percentage change in the price level equals the percentage change in real GDP
- ▶ **The velocity of money is constant**
- ▶ The money supply is fixed

Question No: 27 (Marks: 1) - Please choose one



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Identify the correct statement.

- ▶ When the real interest rate increases the reward for saving decreases
- ▶ When the real interest rate decreases the cost of current consumption increases
- ▶ When the real interest rate increases current consumption becomes more expensive and reward for saving increases
- ▶ When the real interest rate increases only the reward for saving increases

Question No: 28 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for gap analysis?

- ▶ It is the difference between the yield on interest sensitive assets and liabilities
- ▶ It is the difference in the maturity of assets and liabilities
- ▶ **Banks manage credit risk by using gap analysis**
- ▶ It is a formal study of what a business is doing currently and where it wants to go in the future

Question No: 29 (Marks: 1) - Please choose one

Currency-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- ▶ Central bank
- ▶ Bank regulators
- ▶ Commercial banks
- ▶ **Non bank public**

Question No: 30 (Marks: 1) - Please choose one



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What kind of relationship is

there between rate of inflation and aggregate demand?

- ▶ **Positive relationship**
- ▶ Negative relationship
- ▶ Direct relationship
- ▶ Strong relationship

Question No: 31 (Marks: 1) - Please choose one

If real interest rate

increases, investment will:

- ▶ Increase
- ▶ **Decrease**
- ▶ Remain constant
- ▶ None of the given options

Question No: 32 (Marks: 1) - Please choose one

Complete crowding-out will

occur if:

- ▶ **The money supply rises when Government purchases increases**
- ▶ An increase in Government purchases does not change Consumption
- ▶ Taxes rise when Government purchases increases
- ▶ An increase in Government purchases causes an equal fall in Consumption, Investment, and Net Exports

Question No: 33 (Marks: 1) - Please choose one

The long-run supply curve

is:

- ▶ Horizontal



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- ▶ Vertical
- ▶ Downward-sloping
- ▶ **Upward-sloping**

Question No: 34 (Marks: 1) - Please choose one

is **NOT** an example of financial institutions?

Which of the following

- ▶ Bank
- ▶ Securities firm
- ▶ **Stock exchange**
- ▶ Insurance company

Question No: 35 (Marks: 1) - Please choose one

the modern way of transferring fund or making payment?

Which of the following is

- ▶ Paychecks system
- ▶ **Electronic fund transfer**
- ▶ Mailed transaction
- ▶ Local bank

Question No: 36 (Marks: 1) - Please choose one

coffee houses to trading places to electronic networks.

_____ evolved from

- ▶ Financial companies
- ▶ **Financial markets**
- ▶ Financial institutions



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- ▶ Financial intermediaries

Question No: 37 (Marks: 1) - Please choose one

Which of the following is

the formula for calculating ROE (Return on equity)?

- ▶ $\text{ROE} = \text{Net profit before taxes} / \text{bank capital}$
- ▶ $\text{ROE} = \text{Net profit after taxes} / \text{total assets}$
- ▶ **$\text{ROE} = \text{Net profit after taxes} / \text{bank capital}$**
- ▶ $\text{ROE} = \text{Net profit before taxes} / \text{total assets}$

Question No: 38 (Marks: 1) - Please choose one

Which of the following is

related to leverage?

- ▶ Return on assets and return on equity
- ▶ Return on assets
- ▶ Return on equity
- ▶ **None of the given options**

Question No: 39 (Marks: 1) - Please choose one

Which of the following

technique is necessary for making profit in a bank?

- ▶ Interest rate on liabilities must be lower
- ▶ Interest rate on deposits must be higher
- ▶ **Interest rate on deposits must be higher than the interest rate on the liabilities**



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- ▶ Interest rate on deposits must be lower than the interest rate on the liabilities

Question No: 40 (Marks: 1) - Please choose one

the primary uses of funds of Insurance Company?

Which of the following are

- ▶ Cash, loans, securities
- ▶ Corporate bonds, government bonds
- ▶ Commercial paper, bonds, mortgages
- ▶ Mortgages, consumer loans, business loans

Question No: 41 (Marks: 1) - Please choose one

the less predictable it is, and the more _____ risk it creates.

The higher the inflation is,

- ▶ Trading
- ▶ Inflation
- ▶ Systematic
- ▶ Non-systematic

Question No: 42 (Marks: 1) - Please choose one

costs of high and/or unexpected inflation?

Which of the following are

- ▶ Increased uncertainty
- ▶ Higher nominal interest rates
- ▶ Hurts net creditors



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- ▶ All of the above

Question No: 43 (Marks: 1) - Please choose one

Which of the following side of a balance sheet represent that central bank is a government's bank?

- ▶ Asset side of the balance sheet
- ▶ Liabilities side of the balance sheet
- ▶ Equity side of the balance sheet
- ▶ The whole balance sheet

Question No: 44 (Marks: 1) - Please choose one

_____ of a bank is a liability for the bank but that deposit creates reserves of that bank in the central bank that is asset for the bank.

- ▶ Deposits
- ▶ Currency
- ▶ Loan
- ▶ Security

Question No: 45 (Marks: 1) - Please choose one

If we label the quantity of money M and the monetary base MB , the money multiplier m is defined by which of the following relationship?

- ▶ $M = m \times MB$



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- ▶ $M = m / MB$
- ▶ $M = m - MB$
- ▶ $M = m + MB$

Question No: 46 (Marks: 1) - Please choose one

If a bank holds excess reserve it depends upon which of the following?

- ▶ Cost of holding the excess reserve
- ▶ **Benefit of holding excess reserve**
- ▶ Duration of holding excess reserve
- ▶ Cost and benefit of holding excess reserve

Question No: 47 (Marks: 1) - Please choose one

If a 45 degree line on a graph shows that average annual inflation is exactly equal to the average annual money growth, what will be the position of money growth and inflation below the 45 degree line?

- ▶ Money growth = inflation
- ▶ **Money growth < inflation**
- ▶ Money growth > inflation
- ▶ Incomplete information

Question No: 48 (Marks: 1) - Please choose one

_____ grow at a rate equal to the rate of real growth plus the desired level of inflation.



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- ▶ Monetary base
- ▶ **Monetary aggregates**
- ▶ Money multiplier
- ▶ Deposit multiplier

Question No: 49 (Marks: 1) - Please choose one

With an inflation objective of 2% and real growth forecast of 3.5%, equation of exchange tells us that policy makers should set velocity growth at 3%, according to this equation what would be the money growth?

- ▶ 8%
- ▶ 4%
- ▶ 2.5%
- ▶ **1%**

Question No: 50 (Marks: 1) - Please choose one

When interest rates are expected to _____, money demand goes up as people switch from holding bonds into holding money.

- ▶ **Rise**
- ▶ Decrease
- ▶ Remain stable
- ▶ Incomplete information

Question No: 51 (Marks: 1) - Please choose one



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Portfolio demand for money goes up as the liquidity of alternatives _____

- ▶ Falls
- ▶ Rises
- ▶ Remain stable
- ▶ Cannot be determined

Question No: 52 (Marks: 1) - Please choose one

Rising inflation makes foreign goods cheaper in relation to domestic goods, driving imports _____ and net exports _____.

- ▶ Up, down
- ▶ Down, up
- ▶ Down, down
- ▶ Up, up

Question No: 53 (Marks: 1) - Please choose one

Inflation falls and output rises until the economy returns to the point where current output _____ potential output and inflation equals the central bank's target.

- ▶ Equals
- ▶ Greater than
- ▶ Lower than



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► Incomplete information

Question No: 54 (Marks: 1) - Please choose one

_____ in the aggregate demand curve, regardless of its source, will change inflation but not output.

- Upward shift
- Downward shift
- Any shift
- None of the given options

Question No: 55 (Marks: 3)

What is term life insurance?

Question No: 56 (Marks: 5)

What is the difference between Corporate banking and Enterprise banking?

Question No: 57 (Marks: 5)

In what ways monetary and fiscal policy differs? Discuss.

Question No: 58 (Marks: 10)



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How does a shift in aggregate demand and aggregate supply impact on output and inflation?

Question No: 59 (Marks: 10)

a) If people suddenly lost faith in the banking system, what would happen to the demand for money? What impact would their loss of confidence have on inflation?

b) Why is inflation higher than money growth in high inflation countries and lower than money growth in low inflation countries?